

time $t - 30$. One year following the 1929 crash the DJIA was still down 30%. One year after the 1987 program trading crash markets were still down 20%. But one year following the flash crash markets were actually up 15%.

CONCLUSION

In this chapter we have provided an overview of market microstructure research. We have provided some of the more important industry findings and leading edge papers that provided the basis for many of today's execution and black box trading algorithms. Today's investors find themselves in a much different environment than the two exchange structure that was mutually exclusive for NYSE and OTC stocks. Traders today are faced with thirteen different displayed venues and from thirty to forty different dark pools and crossing networks, and different pricing models for each such as the maker-taker model, the inverse taker-maker model, as well as traditional straight commission. The chapter concluded with an overview of the current state of market microstructure and trading research that is being performed on a daily basis. These findings are being used by developers to improve and better calibrate trading algorithms, by traders to make improved trading decisions, and by portfolio managers to improve stock selection and portfolio construction. A thorough understanding of current market microstructure topics, market dynamics, and the current state of research models is essential for any investor seeking to achieve best execution.